

2. Net income to assets employed,
3. Sales to stock,
4. Sales to debtors, and
5. Cost of goods sold to creditors.

Financial Statements and Market Ratios

These are normally known as market ratios and are arrived at by relating financial figures to market prices:

1. Market value to earnings, and
2. Book value to market value.

In this book, ratios have been grouped into eight categories that will enable an investor to easily determine the strengths or weaknesses of a company.

1. Market Value
2. Earnings
3. Profitability
4. Liquidity
5. Leverage
6. Debt Service Capacity
7. Asset Management/Efficiency
8. Margins.

Of course, it must be ensured that the ratios being measured are consistent and valid. The length of the periods being compared should be similar. Large non-recurring income or expenditure should be omitted when calculating ratios calculated for earnings or profitability, otherwise the conclusions will be incorrect.

Ratios do not provide answers. They suggest possibilities. Investors must examine these possibilities along with general factors that would affect the company, such as its management, management policy, government policy,